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Section :- 10

Type :- HW

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A monopolist is called a price maker because :-

- There is only one seller in the market
- The product has no substitutes (close)
- Barriers to entry are very high, so no competitors can enter.

Because of this, monopolist controls the market supply. So it can choose the price instead of accepting a price set by the market.

In contrast, firms in perfect competition are price takers as many sellers exist and no single firm can influence price

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A monopolist determines profit maximizing output using this rule.

$$MR = MC$$

Steps:-

1. The monopolist finds the quantity where marginal Revenue (MR) = Marginal cost (MC)
2. The quantity is the profit-maximizing output (Q_m)
3. Then it uses the demand curve to find the highest price (P_M) consumers are willing to pay for that quantity.

Result:-

- Monopoly produces less output than perfect competition.
- Monopoly charges a higher price than perfect competition.

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Three main barriers to entry that allows monopolies to exist :-

a. ~~Aa~~ Natural Barrier :-

Occurs when one firm can supply the entire market at a lower cost than multiple firms due to economies of scale.

Examples:

- Electricity companies
- Water supply
- Gas supply

b. Ownership Barrier:

Occurs when one firm owns a major resource needed for production.

Examples:-

De Beers once controlled about 90% of the worlds diamond supply.

c. <u>Legal Barrier</u> :-

Occurs when the ~~government~~ government restricts entry by law using :-

patents, Licenses, copyrights, public franchise.

<u>Example</u>:-

patent protection for new medicines

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~~B~~ Deadweight loss is the loss of total benefit to society due to inefficient production.

It occurs in monopoly because,

<u>In perfect competition</u> :-

P = MC , which gives maximum social benefit

<u>In monopoly</u> :-

Output is reduced

P > MC , price is set above marginal cost

Therefore, Monopoly creates deadweight loss because it under-produces and over-prices.